



Time: 5 minutes

Outcome: Evaluate GDP as a measure of well-being.

Difficulty: Intermediate

Limits of GDP

THE CORE IDEA

GDP measures market production, not every dimension of well-being. GDP can rise from replacement activity even if people are worse off. GDP is useful, but it is not a complete measure of well-being. Moving activity into or out of markets can change GDP even when useful services or consumer benefit move differently. GDP is useful because income matters, but it leaves out things like leisure, environmental quality, and some nonmarket activity.

HOW TO RECOGNIZE IT

- A family replaces unpaid home cooking with otherwise similar restaurant meals.
- Unpaid elder care becomes an otherwise similar paid service.
- A country has higher GDP, but also more pollution and longer work hours.
- A free digital service replaces a paid service while users receive greater benefit.
- A free technology replaces paid translation services, measured GDP falls, and users translate more text with less effort.

WATCH OUT

A common mistake is to equate a change in market spending with the same change in total useful services. Moving activity into or out of markets can change GDP even when useful services or consumer benefit move differently.

WORKED EXAMPLE: WHAT GDP MISSES

A hurricane destroys homes, and rebuilding adds \$2 billion to measured construction. Holding other domestic production constant, rebuilding adds \$2 billion to GDP. It does not subtract the homes that were destroyed or the loss of security and leisure, so the GDP increase does not prove that well-being improved.

CHECK YOURSELF

A hurricane destroys homes, and rebuilding raises measured GDP. Name one loss the GDP increase does not subtract and explain why higher GDP does not prove higher well-being.